IB Economics - Topic 2.5: Teacher and AI Grading Guide

Elasticities of Demand | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. Questions 1-40 are SL/HL. Questions 41-50 assess the HL-only extensions. Difficulty: 10 Easy, 25 Medium and 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Current Topic 2.5 covers PED, its degrees/determinants/revenue relation and applications, plus YED, Engel curves and calculations. HL only: changing PED along straight-line demand, commodity versus manufactured PED, and YED significance for firms and sector structure. Cross-price elasticity is not listed in this current Topic 2.5.

Uploaded older Economics for the IB Diploma, Chapter 3 sections 3.1 and 3.3, checks PED/YED mechanisms. Its separate section 3.2 on cross-price elasticity reflects older content and is not imported into this bank.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

PED concept and degrees: 1-10

PED determinants: 11-24

PED and total revenue: 25-29

YED and Engel curves: 30-40

HL extensions: 41-50

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Check P vertical/Q horizontal for demand, correctly shaded revenue rectangles where requested, Engel axes income horizontal/quantity vertical, and correct percent-change formula for PED/YED. A steep curve alone does not establish a numerical elasticity absent scale/reference. Flag uncertain handwritten numbers.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 2.5: PED basics

(a) [10] Explain the meaning of price elasticity of demand and how it differs from the slope of a demand curve.

(b) [15] Using real-world examples, discuss whether observing a downward-sloping demand curve reveals how strongly consumers respond to price changes.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. PED compares percentage responses; slope alone depends on units.

Expected diagram or calculation. For any requested demand diagram put price vertical, quantity horizontal; show initial/final points. For calculations show percentage formula and sign or absolute magnitude.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped basics from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. PED compares percentage responses; slope alone depends on units.

Counterargument and conditions. Response depends on the chosen price interval and on other determinants remaining constant.

Application and real-world example. EIA US gasoline demand and crude oil price changes in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 2.5: PED basics

(a) [10] The price of a good rises by 10% and its quantity demanded falls by 20%. Calculate PED and explain its meaning.

(b) [15] Using real-world examples, evaluate whether this estimate will remain the same after further price changes.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. PED is -2 or 2 in absolute value, indicating elastic response; location and circumstances matter.

Expected diagram or calculation. For any requested demand diagram put price vertical, quantity horizontal; show initial/final points. For calculations show percentage formula and sign or absolute magnitude.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped basics from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. PED is -2 or 2 in absolute value, indicating elastic response; location and circumstances matter.

Counterargument and conditions. Response depends on the chosen price interval and on other determinants remaining constant.

Application and real-world example. EIA US gasoline demand and crude oil price changes in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 2.5: PED basics

(a) [10] A good has PED of -0.5. Explain the effect of a 12% price increase on its quantity demanded, assuming PED is unchanged.

(b) [15] Using real-world examples, discuss whether an inelastic demand estimate guarantees stable purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Quantity demanded falls approximately 6%; a shift can also occur.

Expected diagram or calculation. For any requested demand diagram put price vertical, quantity horizontal; show initial/final points. For calculations show percentage formula and sign or absolute magnitude.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped basics from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Quantity demanded falls approximately 6%; a shift can also occur.

Counterargument and conditions. Response depends on the chosen price interval and on other determinants remaining constant.

Application and real-world example. EIA US gasoline demand and crude oil price changes in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 2.5: PED basics

(a) [10] Explain why PED is based on percentage changes rather than absolute changes in price and quantity.

(b) [15] Using real-world examples, evaluate whether PED estimates from different markets can be compared directly.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Percentages remove measurement units, but goods and periods still differ.

Expected diagram or calculation. For any requested demand diagram put price vertical, quantity horizontal; show initial/final points. For calculations show percentage formula and sign or absolute magnitude.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped basics from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Percentages remove measurement units, but goods and periods still differ.

Counterargument and conditions. Response depends on the chosen price interval and on other determinants remaining constant.

Application and real-world example. EIA US gasoline demand and crude oil price changes in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 2.5: PED basics

(a) [10] Explain the difference between the negative sign and magnitude of PED.

(b) [15] Using real-world examples, discuss whether a smaller negative number always means demand is less responsive.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Sign usually reflects inverse price relation; compare absolute magnitudes, not signed order.

Expected diagram or calculation. For any requested demand diagram put price vertical, quantity horizontal; show initial/final points. For calculations show percentage formula and sign or absolute magnitude.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped basics from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sign usually reflects inverse price relation; compare absolute magnitudes, not signed order.

Counterargument and conditions. Response depends on the chosen price interval and on other determinants remaining constant.

Application and real-world example. EIA US gasoline demand and crude oil price changes in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 2.5: PED degrees

(a) [10] Using appropriate diagrams, explain the difference between relatively price-elastic and relatively price-inelastic demand.

(b) [15] Using real-world examples, evaluate whether the steepness of two curves alone is sufficient to compare PED.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. At a specified price/quantity and common axes, flatter often more elastic, but percent-based comparison matters.

Expected diagram or calculation. Show appropriately labelled flatter/steeper or horizontal/vertical D on common P and Q axes; no supply curve needed.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped degrees from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At a specified price/quantity and common axes, flatter often more elastic, but percent-based comparison matters.

Counterargument and conditions. Extremes are theoretical; compare percentage changes at stated points rather than visual slope alone.

Application and real-world example. Essential fuel versus discretionary purchases, with EIA and ONS contextual data.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 2.5: PED degrees

(a) [10] Explain the meaning of unitary price elasticity of demand.

(b) [15] Using real-world examples, discuss whether a good has unitary PED at every possible price.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Equal percentage changes mean absolute PED one locally, not universally along a curve.

Expected diagram or calculation. Show appropriately labelled flatter/steeper or horizontal/vertical D on common P and Q axes; no supply curve needed.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped degrees from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Equal percentage changes mean absolute PED one locally, not universally along a curve.

Counterargument and conditions. Extremes are theoretical; compare percentage changes at stated points rather than visual slope alone.

Application and real-world example. Essential fuel versus discretionary purchases, with EIA and ONS contextual data.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 2.5: PED degrees

(a) [10] Using appropriate diagrams, explain the meaning of perfectly elastic and perfectly inelastic demand.

(b) [15] Using real-world examples, evaluate whether either extreme is an accurate description of a whole market.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Horizontal D is infinite responsiveness at price; vertical D is zero quantity response.

Expected diagram or calculation. Show appropriately labelled flatter/steeper or horizontal/vertical D on common P and Q axes; no supply curve needed.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped degrees from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Horizontal D is infinite responsiveness at price; vertical D is zero quantity response.

Counterargument and conditions. Extremes are theoretical; compare percentage changes at stated points rather than visual slope alone.

Application and real-world example. Essential fuel versus discretionary purchases, with EIA and ONS contextual data.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 2.5: PED degrees

(a) [10] Explain why a vertical demand curve and a steep but downward-sloping demand curve imply different price responses.

(b) [15] Using real-world examples, discuss whether essential goods have perfectly inelastic demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Zero response versus small nonzero response is a meaningful distinction.

Expected diagram or calculation. Show appropriately labelled flatter/steeper or horizontal/vertical D on common P and Q axes; no supply curve needed.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped degrees from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Zero response versus small nonzero response is a meaningful distinction.

Counterargument and conditions. Extremes are theoretical; compare percentage changes at stated points rather than visual slope alone.

Application and real-world example. Essential fuel versus discretionary purchases, with EIA and ONS contextual data.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 2.5: PED degrees

(a) [10] Calculate the PED when price falls by 5% and quantity demanded rises by 5%, and explain the result.

(b) [15] Using real-world examples, evaluate whether the resulting PED is useful for predicting a large price cut.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. PED=-1 for the stated interval; extrapolation across wider ranges is uncertain.

Expected diagram or calculation. Show appropriately labelled flatter/steeper or horizontal/vertical D on common P and Q axes; no supply curve needed.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes ped degrees from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. PED=-1 for the stated interval; extrapolation across wider ranges is uncertain.

Counterargument and conditions. Extremes are theoretical; compare percentage changes at stated points rather than visual slope alone.

Application and real-world example. Essential fuel versus discretionary purchases, with EIA and ONS contextual data.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 2.5: Substitutes

(a) [10] Explain how the availability of close substitutes affects PED.

(b) [15] Using real-world examples, discuss whether consumers always switch away from a good after its price rises.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Alternative options raise responsiveness if buyers regard them as close enough.

Expected diagram or calculation. A diagram may contrast D curves, but compare elasticity at common reference and scale; do not equate slope mechanically with PED.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes substitutes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Alternative options raise responsiveness if buyers regard them as close enough.

Counterargument and conditions. Switching costs, preferences and market definition qualify the response.

Application and real-world example. ONS retail shopping changes in 2020.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 2.5: Substitutes

(a) [10] Explain why the demand for a narrowly defined brand may be more price elastic than demand for its broad product category.

(b) [15] Using real-world examples, evaluate the importance of how a market is defined when estimating PED.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Brand rivals may substitute within category, whereas category has fewer close external options.

Expected diagram or calculation. A diagram may contrast D curves, but compare elasticity at common reference and scale; do not equate slope mechanically with PED.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes substitutes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Brand rivals may substitute within category, whereas category has fewer close external options.

Counterargument and conditions. Switching costs, preferences and market definition qualify the response.

Application and real-world example. ONS retail shopping changes in 2020.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 2.5: Substitutes

(a) [10] Using appropriate diagrams, explain why a new close substitute could alter a product's price responsiveness.

(b) [15] Using real-world examples, discuss whether entry of a rival necessarily makes demand more price elastic.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. More viable switching choices can raise PED, but preference and access condition effect.

Expected diagram or calculation. A diagram may contrast D curves, but compare elasticity at common reference and scale; do not equate slope mechanically with PED.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes substitutes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. More viable switching choices can raise PED, but preference and access condition effect.

Counterargument and conditions. Switching costs, preferences and market definition qualify the response.

Application and real-world example. ONS retail shopping changes in 2020.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 2.5: Substitutes

(a) [10] Explain how switching costs can weaken the effect of substitutes on PED.

(b) [15] Using real-world examples, evaluate whether products called substitutes must have similar PED.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Time, compatibility and location can impede switching even for related goods.

Expected diagram or calculation. A diagram may contrast D curves, but compare elasticity at common reference and scale; do not equate slope mechanically with PED.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes substitutes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Time, compatibility and location can impede switching even for related goods.

Counterargument and conditions. Switching costs, preferences and market definition qualify the response.

Application and real-world example. ONS retail shopping changes in 2020.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 2.5: Substitutes

(a) [10] Explain why the closeness of substitutes matters as well as their number.

(b) [15] Using real-world examples, discuss whether a large number of alternatives always makes demand highly price elastic.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Weak alternatives may not attract consumers when focal price changes.

Expected diagram or calculation. A diagram may contrast D curves, but compare elasticity at common reference and scale; do not equate slope mechanically with PED.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes substitutes from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Weak alternatives may not attract consumers when focal price changes.

Counterargument and conditions. Switching costs, preferences and market definition qualify the response.

Application and real-world example. ONS retail shopping changes in 2020.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 2.5: Necessity

(a) [10] Explain why demand for a necessity may be relatively price inelastic.

(b) [15] Using real-world examples, discuss whether all consumers respond similarly to a price rise for an essential good.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Continuing need constrains immediate cuts, but households' options differ.

Expected diagram or calculation. Use a relatively steep or flat demand curve only with consistent axes and explanation.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes necessity from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Continuing need constrains immediate cuts, but households' options differ.

Counterargument and conditions. Necessity varies across buyers, and alternatives can exist even for an essential function.

Application and real-world example. ONS household food and transport spending by income group.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 2.5: Necessity

(a) [10] Explain how the degree of necessity and availability of substitutes can affect PED simultaneously.

(b) [15] Using real-world examples, evaluate whether necessity alone is enough to predict PED.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. A necessary function may have substitutable brands; disentangle product and category.

Expected diagram or calculation. Use a relatively steep or flat demand curve only with consistent axes and explanation.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes necessity from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A necessary function may have substitutable brands; disentangle product and category.

Counterargument and conditions. Necessity varies across buyers, and alternatives can exist even for an essential function.

Application and real-world example. ONS household food and transport spending by income group.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 2.5: Necessity

(a) [10] Explain why the PED for the same good may differ between households with different circumstances.

(b) [15] Using real-world examples, discuss whether an average PED adequately represents all buyers.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Reliance, alternative access and budget shares differ across households.

Expected diagram or calculation. Use a relatively steep or flat demand curve only with consistent axes and explanation.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes necessity from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reliance, alternative access and budget shares differ across households.

Counterargument and conditions. Necessity varies across buyers, and alternatives can exist even for an essential function.

Application and real-world example. ONS household food and transport spending by income group.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 2.5: Necessity

(a) [10] Explain why a luxury good may have a higher PED than a necessity, ceteris paribus.

(b) [15] Using real-world examples, evaluate whether calling a good a luxury is sufficient to predict its PED.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Deferrable spending tends responsive; loyalty and scarcity may qualify.

Expected diagram or calculation. Use a relatively steep or flat demand curve only with consistent axes and explanation.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes necessity from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Deferrable spending tends responsive; loyalty and scarcity may qualify.

Counterargument and conditions. Necessity varies across buyers, and alternatives can exist even for an essential function.

Application and real-world example. ONS household food and transport spending by income group.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 2.5: Budget and time

(a) [10] Explain why a good taking a large share of income may have more price-elastic demand.

(b) [15] Using real-world examples, discuss whether small purchases are always price inelastic.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. A price change alters budget more when spending share is large.

Expected diagram or calculation. No compulsory diagram; explain short-run versus longer adjustment without calculating PES.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes budget and time from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A price change alters budget more when spending share is large.

Counterargument and conditions. Income share and adjustment opportunity differ across households and time periods.

Application and real-world example. ONS UK household spending and EIA gasoline demand.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 2.5: Budget and time

(a) [10] Explain why demand may become more price elastic as consumers have more time to adjust.

(b) [15] Using real-world examples, evaluate whether a short-run PED estimate predicts a long-run response.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Adaptation and search for alternatives take time.

Expected diagram or calculation. No compulsory diagram; explain short-run versus longer adjustment without calculating PES.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes budget and time from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Adaptation and search for alternatives take time.

Counterargument and conditions. Income share and adjustment opportunity differ across households and time periods.

Application and real-world example. ONS UK household spending and EIA gasoline demand.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 2.5: Budget and time

(a) [10] Explain how the ability to postpone a purchase can influence PED.

(b) [15] Using real-world examples, discuss whether all durable goods have elastic demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Deferral provides a response to a price rise but urgency differs.

Expected diagram or calculation. No compulsory diagram; explain short-run versus longer adjustment without calculating PES.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes budget and time from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Deferral provides a response to a price rise but urgency differs.

Counterargument and conditions. Income share and adjustment opportunity differ across households and time periods.

Application and real-world example. ONS UK household spending and EIA gasoline demand.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 2.5: Budget and time

(a) [10] Explain how the budget share and time available can jointly affect PED.

(b) [15] Using real-world examples, evaluate which determinant of PED is likely to matter most for transport fuel.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Large expenditure motivates adjustment, while alternatives may require time and access.

Expected diagram or calculation. No compulsory diagram; explain short-run versus longer adjustment without calculating PES.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes budget and time from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Large expenditure motivates adjustment, while alternatives may require time and access.

Counterargument and conditions. Income share and adjustment opportunity differ across households and time periods.

Application and real-world example. ONS UK household spending and EIA gasoline demand.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 2.5: Budget and time

(a) [10] Explain why a change in price may have a small immediate effect on quantity but a larger later effect.

(b) [15] Using real-world examples, discuss whether producer pricing decisions should rely on immediate sales changes.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Initial commitments and later substitution yield different horizons.

Expected diagram or calculation. No compulsory diagram; explain short-run versus longer adjustment without calculating PES.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes budget and time from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Initial commitments and later substitution yield different horizons.

Counterargument and conditions. Income share and adjustment opportunity differ across households and time periods.

Application and real-world example. ONS UK household spending and EIA gasoline demand.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 2.5: Revenue

(a) [10] Explain how total revenue changes after a price increase when demand is price elastic.

(b) [15] Using real-world examples, discuss whether raising price is a reliable way for a firm to raise revenue.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Quantity percentage fall exceeds price rise, so P times Q falls.

Expected diagram or calculation. For revenue diagram shade P times Q rectangles before and after on D; connect PED magnitude to rectangle comparison.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes revenue from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Quantity percentage fall exceeds price rise, so P times Q falls.

Counterargument and conditions. Revenue is price times quantity, not profit; changing demand and costs alter business conclusions.

Application and real-world example. EIA US gasoline demand and oil-price episode in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 2.5: Revenue

(a) [10] Explain how a price reduction affects total revenue when demand is price inelastic.

(b) [15] Using real-world examples, evaluate whether discounting always increases a seller's revenue.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Quantity percentage rise is smaller than price fall, so total revenue falls.

Expected diagram or calculation. For revenue diagram shade P times Q rectangles before and after on D; connect PED magnitude to rectangle comparison.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes revenue from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Quantity percentage rise is smaller than price fall, so total revenue falls.

Counterargument and conditions. Revenue is price times quantity, not profit; changing demand and costs alter business conclusions.

Application and real-world example. EIA US gasoline demand and oil-price episode in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 2.5: Revenue

(a) [10] Using an appropriate diagram, explain why a price rise can increase total revenue under price-inelastic demand.

(b) [15] Using real-world examples, discuss whether higher revenue after a price rise proves demand was inelastic.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Compare old/new P-Q rectangles; other demand shifts can confound inference.

Expected diagram or calculation. For revenue diagram shade P times Q rectangles before and after on D; connect PED magnitude to rectangle comparison.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes revenue from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Compare old/new P-Q rectangles; other demand shifts can confound inference.

Counterargument and conditions. Revenue is price times quantity, not profit; changing demand and costs alter business conclusions.

Application and real-world example. EIA US gasoline demand and oil-price episode in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 2.5: Revenue

(a) [10] A firm raises price by 8% and quantity demanded falls by 4%. Explain the likely direction of its total revenue change.

(b) [15] Using real-world examples, evaluate whether this calculation alone determines whether the firm should raise price.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Revenue rises approximately; costs, profit and changes in demand matter.

Expected diagram or calculation. For revenue diagram shade P times Q rectangles before and after on D; connect PED magnitude to rectangle comparison.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes revenue from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revenue rises approximately; costs, profit and changes in demand matter.

Counterargument and conditions. Revenue is price times quantity, not profit; changing demand and costs alter business conclusions.

Application and real-world example. EIA US gasoline demand and oil-price episode in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 2.5: Revenue

(a) [10] Explain the relationship between unitary PED and a small change in total revenue following a price change.

(b) [15] Using real-world examples, discuss whether maximising revenue necessarily maximises profit.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Offsetting percentage changes leave revenue about unchanged locally; profit depends on costs.

Expected diagram or calculation. For revenue diagram shade P times Q rectangles before and after on D; connect PED magnitude to rectangle comparison.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes revenue from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Offsetting percentage changes leave revenue about unchanged locally; profit depends on costs.

Counterargument and conditions. Revenue is price times quantity, not profit; changing demand and costs alter business conclusions.

Application and real-world example. EIA US gasoline demand and oil-price episode in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 2.5: YED

(a) [10] Explain how income elasticity of demand distinguishes normal and inferior goods.

(b) [15] Using real-world examples, discuss whether a good must have the same YED for all consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Positive YED normal, negative inferior; classification varies by group and income range.

Expected diagram or calculation. For Engel diagram put income on horizontal and quantity demanded vertical. For calculation show percentage quantity change over percentage income change and correct sign.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes yed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Positive YED normal, negative inferior; classification varies by group and income range.

Counterargument and conditions. Income correlations do not isolate YED when prices and tastes also change.

Application and real-world example. ONS Family Spending in the UK, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 2.5: YED

(a) [10] Income rises by 5% and demand for a service rises by 10%. Calculate YED and interpret it.

(b) [15] Using real-world examples, evaluate whether this YED estimate will remain constant as incomes continue to rise.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. YED=2, income elastic for interval; composition and saturation may change.

Expected diagram or calculation. For Engel diagram put income on horizontal and quantity demanded vertical. For calculation show percentage quantity change over percentage income change and correct sign.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes yed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. YED=2, income elastic for interval; composition and saturation may change.

Counterargument and conditions. Income correlations do not isolate YED when prices and tastes also change.

Application and real-world example. ONS Family Spending in the UK, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 2.5: YED

(a) [10] Explain the difference between an income-inelastic necessity and an income-elastic service.

(b) [15] Using real-world examples, discuss whether spending on services always grows faster than income.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Positive YED below one versus above one, at stated income range.

Expected diagram or calculation. For Engel diagram put income on horizontal and quantity demanded vertical. For calculation show percentage quantity change over percentage income change and correct sign.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes yed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Positive YED below one versus above one, at stated income range.

Counterargument and conditions. Income correlations do not isolate YED when prices and tastes also change.

Application and real-world example. ONS Family Spending in the UK, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 2.5: YED

(a) [10] A household's income rises by 10% and its demand for a good falls by 5%. Calculate YED and explain what it indicates.

(b) [15] Using real-world examples, evaluate whether declining sales alone establishes that a good is inferior.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. YED=-0.5, but own price and other determinants must be controlled.

Expected diagram or calculation. For Engel diagram put income on horizontal and quantity demanded vertical. For calculation show percentage quantity change over percentage income change and correct sign.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes yed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. YED=-0.5, but own price and other determinants must be controlled.

Counterargument and conditions. Income correlations do not isolate YED when prices and tastes also change.

Application and real-world example. ONS Family Spending in the UK, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 2.5: YED

(a) [10] Explain why a positive YED can be either greater or less than one.

(b) [15] Using real-world examples, discuss whether all normal goods respond strongly to rising income.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Sign gives normality; magnitude gives proportional responsiveness.

Expected diagram or calculation. For Engel diagram put income on horizontal and quantity demanded vertical. For calculation show percentage quantity change over percentage income change and correct sign.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes yed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sign gives normality; magnitude gives proportional responsiveness.

Counterargument and conditions. Income correlations do not isolate YED when prices and tastes also change.

Application and real-world example. ONS Family Spending in the UK, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 2.5: YED

(a) [10] Using an Engel curve, explain how quantity demanded changes with income for a normal good.

(b) [15] Using real-world examples, evaluate whether an Engel curve for one household describes the whole market.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Income horizontal, quantity vertical; upward response can vary with range and buyers.

Expected diagram or calculation. For Engel diagram put income on horizontal and quantity demanded vertical. For calculation show percentage quantity change over percentage income change and correct sign.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes yed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Income horizontal, quantity vertical; upward response can vary with range and buyers.

Counterargument and conditions. Income correlations do not isolate YED when prices and tastes also change.

Application and real-world example. ONS Family Spending in the UK, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 2.5: Engel

(a) [10] Using appropriate Engel curves, explain the difference between income-elastic and income-inelastic demand.

(b) [15] Using real-world examples, discuss whether the shape of an Engel curve is fixed for all income levels.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Relative percentage changes identify elasticity; axes and starting points matter.

Expected diagram or calculation. Engel curve: income horizontal, quantity demanded vertical; normal slopes upward, inferior downward over relevant range; compare percentages, not raw slope alone.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes engel from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Relative percentage changes identify elasticity; axes and starting points matter.

Counterargument and conditions. Shape can vary with income range, preferences and consumer composition.

Application and real-world example. ONS household spending by income group, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 2.5: Engel

(a) [10] Using an Engel curve, explain why the demand for an inferior good falls as income rises.

(b) [15] Using real-world examples, evaluate whether low-priced goods are necessarily inferior.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Negative Engel relationship at a specified range does not mean poor quality.

Expected diagram or calculation. Engel curve: income horizontal, quantity demanded vertical; normal slopes upward, inferior downward over relevant range; compare percentages, not raw slope alone.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes engel from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Negative Engel relationship at a specified range does not mean poor quality.

Counterargument and conditions. Shape can vary with income range, preferences and consumer composition.

Application and real-world example. ONS household spending by income group, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 2.5: Engel

(a) [10] Explain why an Engel curve may change its slope as income increases.

(b) [15] Using real-world examples, discuss whether a good can change classification as income rises.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Saturation and changing preferences can alter income responsiveness across ranges.

Expected diagram or calculation. Engel curve: income horizontal, quantity demanded vertical; normal slopes upward, inferior downward over relevant range; compare percentages, not raw slope alone.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes engel from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Saturation and changing preferences can alter income responsiveness across ranges.

Counterargument and conditions. Shape can vary with income range, preferences and consumer composition.

Application and real-world example. ONS household spending by income group, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 2.5: Engel

(a) [10] Using appropriate Engel curves, explain how two normal goods may have different YED values.

(b) [15] Using real-world examples, evaluate whether income growth has predictable effects on every sector.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Both upward but differing percentage responsiveness implies changing composition.

Expected diagram or calculation. Engel curve: income horizontal, quantity demanded vertical; normal slopes upward, inferior downward over relevant range; compare percentages, not raw slope alone.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes engel from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Both upward but differing percentage responsiveness implies changing composition.

Counterargument and conditions. Shape can vary with income range, preferences and consumer composition.

Application and real-world example. ONS household spending by income group, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 2.5: Engel

(a) [10] Explain why differences in YED can cause the pattern of consumption to change as incomes grow.

(b) [15] Using real-world examples, discuss whether services always gain a larger share of spending as incomes rise.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Income-elastic goods tend grow proportionately faster than income-inelastic goods.

Expected diagram or calculation. Engel curve: income horizontal, quantity demanded vertical; normal slopes upward, inferior downward over relevant range; compare percentages, not raw slope alone.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes engel from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Income-elastic goods tend grow proportionately faster than income-inelastic goods.

Counterargument and conditions. Shape can vary with income range, preferences and consumer composition.

Application and real-world example. ONS household spending by income group, FYE 2024.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 2.5: HL linear PED

(a) [10] Using a straight-line demand curve, explain why PED changes as price falls along the curve even when its slope is constant.

(b) [15] Using real-world examples, discuss whether one PED value can describe demand at every price.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Percentage bases change: relatively elastic at high P low Q, less elastic lower down.

Expected diagram or calculation. On a straight-line D, upper half elastic, midpoint unitary, lower half inelastic; mark P and Q axes and local intervals.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl linear ped from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Percentage bases change: relatively elastic at high P low Q, less elastic lower down.

Counterargument and conditions. The changing P/Q ratio and unchanged slope are distinct; profit depends on costs.

Application and real-world example. A named firm pricing decision, with actual price and sales evidence where possible.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 2.5: HL linear PED

(a) [10] Using a straight-line demand curve, explain where PED is unitary, elastic and inelastic.

(b) [15] Using real-world examples, evaluate whether the midpoint of a straight-line demand curve is always the best price for a firm.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Unitary at midpoint; elastic upper half and inelastic lower, but costs matter for profit.

Expected diagram or calculation. On a straight-line D, upper half elastic, midpoint unitary, lower half inelastic; mark P and Q axes and local intervals.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl linear ped from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unitary at midpoint; elastic upper half and inelastic lower, but costs matter for profit.

Counterargument and conditions. The changing P/Q ratio and unchanged slope are distinct; profit depends on costs.

Application and real-world example. A named firm pricing decision, with actual price and sales evidence where possible.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 2.5: HL linear PED

(a) [10] Explain how the relationship between PED and total revenue changes as a firm moves down a straight-line demand curve.

(b) [15] Using real-world examples, discuss whether a firm should target the revenue-maximising point.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Revenue rises in elastic region, peaks at unitary, falls in inelastic region; costs decide profit.

Expected diagram or calculation. On a straight-line D, upper half elastic, midpoint unitary, lower half inelastic; mark P and Q axes and local intervals.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl linear ped from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revenue rises in elastic region, peaks at unitary, falls in inelastic region; costs decide profit.

Counterargument and conditions. The changing P/Q ratio and unchanged slope are distinct; profit depends on costs.

Application and real-world example. A named firm pricing decision, with actual price and sales evidence where possible.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 2.5: HL linear PED

(a) [10] Using a straight-line demand curve, explain why equal absolute price changes need not cause equal percentage changes in quantity demanded.

(b) [15] Using real-world examples, evaluate the reliability of extrapolating an elasticity estimate across prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Constant slope gives equal absolute Q change but different percentage denominators.

Expected diagram or calculation. On a straight-line D, upper half elastic, midpoint unitary, lower half inelastic; mark P and Q axes and local intervals.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl linear ped from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Constant slope gives equal absolute Q change but different percentage denominators.

Counterargument and conditions. The changing P/Q ratio and unchanged slope are distinct; profit depends on costs.

Application and real-world example. A named firm pricing decision, with actual price and sales evidence where possible.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 2.5: HL linear PED

(a) [10] Explain why an elastic upper section and an inelastic lower section can coexist on one straight-line demand curve.

(b) [15] Using real-world examples, discuss whether the same good can have different price responsiveness at different prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Local ratio (P/Q) times absolute slope changes along the curve; context and substitutes may shift it too.

Expected diagram or calculation. On a straight-line D, upper half elastic, midpoint unitary, lower half inelastic; mark P and Q axes and local intervals.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl linear ped from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Local ratio (P/Q) times absolute slope changes along the curve; context and substitutes may shift it too.

Counterargument and conditions. The changing P/Q ratio and unchanged slope are distinct; profit depends on costs.

Application and real-world example. A named firm pricing decision, with actual price and sales evidence where possible.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 2.5: HL commodities

(a) [10] Explain two reasons why demand for a primary commodity may be less price elastic than demand for a manufactured product.

(b) [15] Using real-world examples, evaluate whether this comparison is true for every commodity and product.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Necessity and fewer close substitutes can lower primary commodity PED.

Expected diagram or calculation. If diagram offered, label comparable P/Q axes and avoid claiming all primary goods have identical slopes.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl commodities from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Necessity and fewer close substitutes can lower primary commodity PED.

Counterargument and conditions. Some commodities have substitute uses and some manufactures are indispensable.

Application and real-world example. Compare grain and branded electronics with documented markets.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 2.5: HL commodities

(a) [10] Explain why the use of a primary commodity as an essential input may reduce its PED.

(b) [15] Using real-world examples, discuss whether rising commodity prices necessarily raise producers' revenue.

Part (a) - Indicative answer and marking guidance

Essential concepts. PED is percentage change in quantity demanded divided by percentage change in own price, usually negative; magnitude below one is inelastic, above one elastic.

Required reasoning. Buyers may need input despite price rise, but substitution and demand shifts vary.

Expected diagram or calculation. No compulsory diagram; relate input necessity to percentage response.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl commodities from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Buyers may need input despite price rise, but substitution and demand shifts vary.

Counterargument and conditions. Supply costs and sales volume affect revenue.

Application and real-world example. EIA crude oil price and demand episode in 2022.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 2.5: HL YED firms

(a) [10] Explain why a firm may use YED estimates when planning production for income growth.

(b) [15] Using real-world examples, evaluate whether YED alone provides enough information for business planning.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Income-elastic product demand tends rise faster with income; production planning responds.

Expected diagram or calculation. No compulsory diagram; do not treat spending change as YED without quantities.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl yed firms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Income-elastic product demand tends rise faster with income; production planning responds.

Counterargument and conditions. Prices, tastes, population and production constraints also matter.

Application and real-world example. ONS household spending and income reports provide context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 2.5: HL YED sector

(a) [10] Explain how differing YED values can contribute to a change in the sectoral structure of an economy.

(b) [15] Using real-world examples, discuss whether rising incomes alone explain an expanding services sector.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Income-elastic services gain demand share relative to income-inelastic necessities.

Expected diagram or calculation. Engel curves may illustrate differences; no macroeconomic model required.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl yed sector from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Income-elastic services gain demand share relative to income-inelastic necessities.

Counterargument and conditions. Technology, prices and international trade also shape sector shares.

Application and real-world example. ONS household spending by category and income provides illustrative context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 2.5: HL YED firm

(a) [10] Explain why a firm selling an inferior good might adjust its plans during sustained income growth.

(b) [15] Using real-world examples, evaluate whether a negative YED always signals poor future prospects for a business.

Part (a) - Indicative answer and marking guidance

Essential concepts. YED is percentage change in quantity demanded divided by percentage change in income. Positive YED denotes a normal good, negative an inferior good; magnitude compares proportional responses.

Required reasoning. Demand at each price may decline as buyers trade up.

Expected diagram or calculation. No compulsory diagram; distinguish market shifts from individual income response.

Common misconceptions. Do not confuse a demand shift with a movement along a curve, raw slope with percentage elasticity, or revenue with profit. For this question, check specifically that the student distinguishes hl yed firm from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Demand at each price may decline as buyers trade up.

Counterargument and conditions. Population, geographic differences and price changes can offset.

Application and real-world example. A discount transport or food segment with documented buyers.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

G. Current IB Economics guide, first assessment 2022, Topic 2.5, printed pp. 27-28.

Open source

A. UK ONS, Family spending, FYE 2024; spending by category and income context, not a direct causal elasticity estimate.

Open source

B. US EIA, crude oil prices and gasoline demand in 2022, involving several simultaneous influences.

Open source

Final checks

50 paired questions; 10 Easy / 25 Medium / 15 Hard; Questions 1-40 are SL/HL. Questions 41-50 assess the HL-only extensions. The student paper contains no answers or difficulty labels.